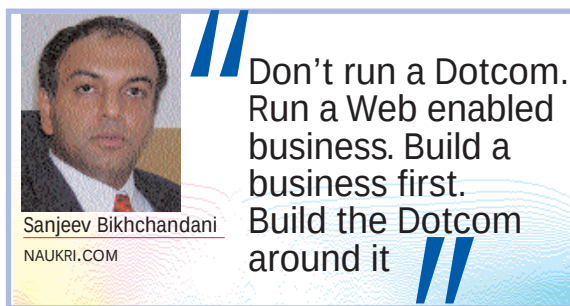




getting 'surrogate' advertising from them in return. Says Alok Kejriwal, CEO of C2W.com, "We were the first company to be on Kellogg's packaging and on Hindustan Lever's thematic advertising! MTV VJs screamed our name non-stop. In the first year, we got Rs 13 crore worth of advertising!"

Indiatimes focused on creating an Internet platform that was not just a source of great content, but also served as a cross-platform vehicle for reaching potential consumers irrespective of the medium—newspapers, magazines, radio, Internet, music or events. "The crux of the model was to use our resources efficiently to identify and increase the number of revenue streams, be they traditional banner ads, events, transaction based (e-commerce revenue) or for lead generation," adds Mahendra Swarup, CEO, **Indiatimes**.

Sanjeev Bhikchandani of **Naukri.com** reckons that his site was helped by the fact that they were the first in the business. This enabled them to build their brand without spending too much money. Being pioneers, good press during the Internet boom certainly helped. Cost saving media alliances with major newspapers like Hindustan Times, Business Today and Deccan Chronicle helped them get ahead.

2. Overcoming inertia

Having a sound business model wasn't enough. Just doing business online was a challenge they had to face and overcome.

Fabmart's biggest obstacle was that of inertia. "Customers coming online are still trying to get comfortable with this medium. They start with e-mail and then progress to browsing, then chat. Only later do they actually start transacting, and to get 'browsers' or window shoppers to complete their first transaction takes time. This is where our strategy is focused—to get browsers to make their first transaction

and overcome their inertia," says K. Vaitheeswaran, CEO of **Fabmart**.

For **Apnaloan**, getting banks to change their mindset about trusting an online channel for dispersion of banking products was a major obstacle. Accessing the Internet and acceptance of the idea of payment over the Net were the main obstacles

faced by **Traveljini**. To counter this, they created a brick-and-mortar model since their research showed that people were comfortable coming to the office and closing the transaction.

Kejriwal recalls the time when he used to make 200 phone calls a day to brand managers and would get through to just two. His solution: even the most 'intelligent' of buyers hate change, so you have to coax, cajole and make them bend. "VCs told me, 'we will give you money ONLY if you spend it, not to create bank accounts. We will talk about revenues later'. I turned many of them down. A 'business' cannot change interpretations as per the times. Its mission is to make money from day one", says Kejriwal.

According to Vaitheeswaran, **Fabmart's** strategy since the start has been quite simple: changing habits and buyer behaviour. "We realised that pure awareness and brand building will not really help us. Hence, our entire growth strategy has been based on getting customers to try out online shopping at **Fabmart** just once. We were very confident that once a customer has tried us, we would be able to retain him or her, leveraging on the positive experience they have with our store".

Initially **Baazee** went about building their seller base through direct contact followed by a plan to get more buyers online through alliances and TV campaigns. According to Avnish Bajaj, CEO, **Baazee**, "The biggest challenge was to maintain a balance between buyers and sellers on **Baazee**. After achieving a significant base

of buyers and sellers we shifted focus from quantity to quality. Today, tradings (auctions closed successfully) on **Baazee** are in the range of 7 to 9 crore a month!"

3. Innovation

Even before you build a good business model, you need an innovative idea that will earn revenue.

Kejriwal has an interesting perspective: "How many billboards have you seen of **Hotmail** or **ICQ** or **Napster**? Yet they became so successful! Simply because they serve very 'viral' content. Like a common cold doesn't need to be injected into people, it spreads. That's the strategy I have used to grow the 1.8 million strong **C2W** community. For the first year, the content was free to clients. In return, I got barter advertisement. I gave the brands the 'excitement' of the Internet in exchange for them launching me in the real world!"

Among **Fabmart's** several firsts are India's first MP3 music download (with Remo Fernandes), India's first e-book download (a short story by R. K. Narayan), India's first e-payment mechanism (FabMoney), India's first online Gift Certificates, India's first online payment gateway (with Citibank), the **Fabmart** Affiliate Program, and the list goes on.

According to Bikhchandani, **Naukri's** innovative mind set', which constantly encourages people to take risks and do things differently and better themselves, is the secret of their success. Innovations at **Naukri** include HR Headlines (the weekly HR E-zine), E-apps (the response management software), Resdex (the resume database access product), and the Resume Zapper (sends your resume to 800 software companies automatically). This, combined with a technology engine that works 30 per cent faster and 50 per cent cheaper than other comparable solutions available in the market, leads to a greater value proposition for the customer. "Some of these are not even noticed by people who visit the site but continuous innovation is what keeps us ahead of competition", says Bikhchandani.

